

ECO 108—INTRODUCTION TO ECONOMICS
Summer 2015

Exam 2

June 22, 2015

Name (Print): _____

SBU ID: _____

Time Limit: 1 hour and 30 minutes

Instructions: This exam contains 9 pages (not including this cover page). Check to see if any pages are missing. Enter all requested information on the top of this page and on the answer sheet provided. The exam has 40 multiple choice questions. Each question has a value of *1 point*. You must fill your answers in the answer sheet. Good luck!

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.

- 1) Suppose that Dillon derives 40 utils of total utility from eating 3 hotdogs and 50 utils of total utility from eating 4 hotdogs. What is Dillon's marginal utility from eating the 4th hotdog? 1) _____
A) 10 B) 40 C) 50 D) 5
- 2) Which of the following is NOT true of utility? 2) _____
A) The utility that a good provides depends on a consumer's preferences.
B) Utility can be measured objectively.
C) It is measured using a representative unit called a *util*.
D) It represents the want-satisfying power of a good.
- 3) When economists refer to people making decisions *at the margin*, they mean that we compare _____ benefits with _____ costs. 3) _____
A) total; incremental B) total; total
C) additional; marginal D) additional; additional
- 4) If total utility is decreasing, then marginal utility is 4) _____
A) zero. B) increasing. C) positive. D) negative.
- 5) In order to maximize utility, a consumer should allocate money income so that 5) _____
A) the total utility derived from each product consumed is the same.
B) the marginal utility obtained from the last dollar spent on each product is the same.
C) the elasticity of demand on all products purchased is the same.
D) the marginal utility of the last unit of each product consumed is greater than the total utility of each product consumed.
- 6) Suppose Isaac's marginal utility from attending his 5th White Sox game was 40 and the marginal utility from attending his 1st Rihanna concert was 200. Assume that the price of a White Sox ticket is \$20 and the price of a Rihanna ticket is \$120. Which of the following would be TRUE? 6) _____
A) Isaac would attend more Rihanna concerts and less White Sox games.
B) Isaac would not alter his behavior.
C) Isaac would attend more White Sox games and less Rihanna concerts.
D) Isaac would attend less of both White Sox games and Rihanna concerts.
- 7) If a consumer concludes that the marginal utility of the last dollar spent on vegetables exceeds the marginal utility of the last dollar spent on junk food, he will respond by 7) _____
A) consuming relatively more vegetables and less junk food.
B) consuming equal amounts of vegetables and junk food.
C) consuming relatively more junk food and fewer vegetables.
D) halting consumption of junk food altogether.

Bob's Marginal Utility for consuming beer and pizza with \$8.00 in income

Quantity of Pizza	Marginal Utility	Quantity of Beer	Marginal Utility
1	45	1	40
2	40	2	40
3	30	3	35
4	15	4	10
5	-5	5	0

- 8) In the above table, Bob experiences diminishing marginal utility after consuming how many pieces of pizza? 8) _____
 A) 1 B) 2 C) 3 D) 4
- 9) In the above table, Bob experiences diminishing marginal utility after consuming how many beers? 9) _____
 A) 1 B) 2 C) 3 D) 4
- 10) According to the above table, how much total utility does Bob get from 3 pieces of pizza? 10) _____
 A) 115 utils B) 130 utils C) 85 utils D) 30 utils
- 11) For any two goods, X and Y, if MU_X divided by P_X equals 2.5 and MU_Y divided by P_Y equals 4.0, then with given income and prices the consumer should 11) _____
 A) buy more of good Y and less of good X. B) buy all of good Y and no X.
 C) buy more of good X and less of good Y. D) stop because an equilibrium is achieved.
- 12) Suppose a consumer is currently buying 5 goods so that utility is maximized. The price of one of the goods falls while the prices of the other 4 goods do not change. The consumer should 12) _____
 A) buy more of all goods being consumed to get to the optimal position.
 B) buy more of the good that has experienced the fall in price to get to the optimal position.
 C) buy less of all goods being consumed to get to the optimal position.
 D) buy more of all of the goods but the one that experiences the decline in price, to get to the optimal position.
- 13) The change in people's purchasing power that occurs when the price of a good they purchase changes, assuming all else is held constant is known as 13) _____
 A) the real income effect. B) the multiplier effect.
 C) the elasticity effect. D) the substitution effect.
- 14) Suppose a consumer is at an optimum. What happens when the price of one good she has been consuming increases? 14) _____
 A) The marginal utility per dollar spent on the last unit consumed of that good is now smaller than the marginal utility per dollar spent on other goods the person consumes.
 B) The value of the marginal utility of the last unit consumed decreases.
 C) The value of the marginal utility of the last unit consumed increases.
 D) The marginal utility per dollar spent on the last unit consumed of that good increases by the same proportion as the price increases.

- 15) An indifference curve provides the set of consumption alternatives that 15) _____
 A) can be purchased for the same amount of money.
 B) maximize the utility of the consumer.
 C) yield the same marginal utility for the last unit consumed of each good.
 D) yield the same total amount of satisfaction.

- 16) Which of the following is FALSE about indifference curves? 16) _____
 A) They are convex to the origin. B) They can shift.
 C) They are downward sloping. D) They intersect.

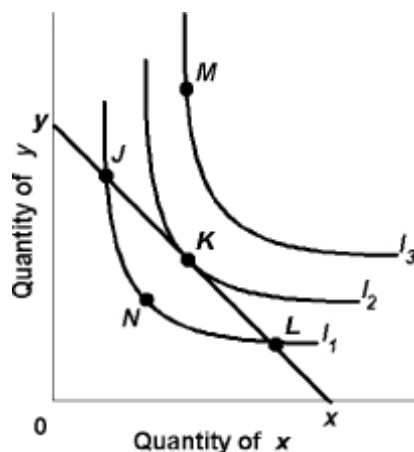
- 17) The marginal rate of substitution is the 17) _____
 A) change in the quantity of one good that changes the utility received by one unit.
 B) rate at which the consumer can exchange one good for the other.
 C) same thing as the marginal utility of a good.
 D) change in the quantity of one good that just offsets a one-unit change in the consumption of another good such that the total satisfaction remains constant.

Combination	Good A	Good B
A	17	4
B	13	5
C	10	6
D	8	7

- 18) Refer to the above table. The table gives the various combinations of Good A and Good B along Jane's indifference curve. The marginal rate of substitution when Jane goes from combination A to combination B is 18) _____
 A) 3:1. B) 4:1. C) 2:1. D) 0.

- 19) The possible combinations of goods that can be purchased with a specific income are called the 19) _____
 A) budget constraint. B) marginal rate of substitution.
 C) indifference map. D) income-consumption curve.

- 20) If the quantity of hamburgers is measured along the horizontal axis and the quantity of movies is measured along the vertical axis, and the price of a hamburger is \$2.00 while the price of a movie is \$12, then the slope of the budget line is 20) _____
 A) -6. B) -1/6. C) -3.5 D) -1/3.

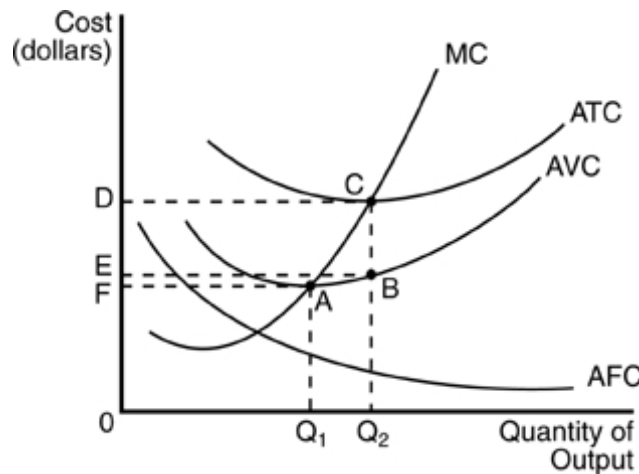


- 21) Using the above figure, we can conclude that _____
 A) the consumer will purchase goods at combination M.
 B) L is preferred to K.
 C) the consumer is indifferent between J and M.
 D) K is the optimal combination of goods.
- 22) Economists generally define the short run as being _____
 A) that period of time in which all inputs are variable.
 B) any period of time less than one year.
 C) that period of time in which at least one of the firm's inputs, usually plant size, is fixed.
 D) any period of time less than six months.
- 23) Which of the following is TRUE about the long run? _____
 A) All resources are fixed.
 B) All resources are variable.
 C) At least one resource is fixed.
 D) None of the above
- 24) A basic distinction between the long run and the short run is that _____
 A) in the long run, some inputs are fixed, while in the short run, all inputs are variable.
 B) in the short run, complete adjustment of all inputs is impossible, while in the long run all inputs can be adjusted.
 C) the opportunity costs of production are lower in the short run than in the long run.
 D) if a firm produces no output in the long run, it still incurs a cost.
- 25) For a hotdog vendor, the hotdog stand represents his _____
 A) variable input.
 B) diseconomies of scale.
 C) fixed input.
 D) none of the above.
- 26) Which of the following would be a fixed input for an amusement park? _____
 A) concession workers
 B) ticket takers
 C) the roller coaster
 D) unpopped popcorn

- 27) Suppose that one worker can produce 15 cookies, two workers can produce 35 cookies together, and three workers can produce 60 cookies together. What is the marginal product of the 2nd worker? 27) _____
 A) 20 cookies B) 35 cookies C) 25 cookies D) 15 cookies
- 28) Suppose that one worker can produce 15 cookies, two workers can produce 35 cookies together, and three workers can produce 60 cookies together. What is the average product of the first two workers? 28) _____
 A) 20 cookies B) 35 cookies C) 15 cookies D) 17.5 cookies
- 29) When a firm uses technological improvements to increase output from the same amount of inputs, the result is 29) _____
 A) diseconomies of scale. B) guaranteed profits.
 C) losses. D) a new production function.
- 30) A negative value for the marginal physical product would indicate that 30) _____
 A) total output increased, but the increase was very small.
 B) total output increased by a significant amount.
 C) the company has not yet reached the point of saturation.
 D) total output decreased when the extra unit of the variable input was added.
- 31) If the marginal product curve is increasing from workers 1-89 and then decreases steadily, crossing the horizontal axis at 190 workers, we know that 31) _____
 A) diminishing marginal product sets in with the 190th worker.
 B) the total output curve is increasing at an increasing rate from workers 1-89, then increases at a decreasing rate until the 190th worker, after which it decreases.
 C) the total output curve is increasing throughout, although at an increasing rate for the first 190 workers and at a decreasing rate after the 190th worker.
 D) the total output curve increases from workers 1-89, decreases from workers 90-189, and becomes 0 at the 190th worker.
- 32) Suppose that a firm is currently producing 500 units of output. At this level of output, AVC is \$1 per unit, and TFC is \$500. What is the firm's TC? 32) _____
 A) \$500 B) \$1,500 C) \$1,000 D) \$501
- 33) Suppose that when the level of output for the firm increases from 100 to 110 units, its variable costs increase from \$500 to \$700. What is the firm's marginal cost? 33) _____
 A) \$20 B) \$5 C) \$200 D) \$7
- 34) Assume it takes 10 units of labor to produce 4 units of output. When the price of labor is \$6 per unit and fixed costs equal \$60, what is the total cost of those 4 units of output? 34) _____
 A) \$84 B) \$120 C) \$60 D) \$70
- 35) Which of the following would NOT be considered a fixed cost of production? 35) _____
 A) wages paid to labor
 B) interest payments on a loan
 C) insurance payments on plant and equipment
 D) the opportunity cost of capital

- 36) When Super Stuff Corporation produces 5,000 units, total costs equal \$150,000 and total variable costs equal \$75,000. At this level of output, what is Super Stuff's average fixed cost?
A) \$75,000 B) \$225,000 C) \$15 D) \$30

36) _____



- 37) In the above figure, if this firm produces output level Q_2 , it has average variable costs of
A) OF. B) OC. C) OE. D) OD.

37) _____

- 38) The minimum possible short-run average costs are equal to long-run average costs when
A) the long-run curve is at a minimum point.
B) the plant is producing at its short-run minimum point.
C) production is at any point on the LAC curve.
D) short-run and long-run costs are declining.

38) _____

- 39) The long-run average cost curve
A) should always be horizontal.
B) is a curve which is tangent to each member of a set of short-run average cost curves.
C) is always a downward sloping straight line.
D) is identical to the marginal cost curve.

39) _____

- 40) Which of the following is TRUE for a firm in the long run?
A) The law of diminishing marginal product holds.
B) Variable costs will equal marginal cost at all output levels.
C) All costs are variable costs.
D) Variable costs will initially increase and then decrease.

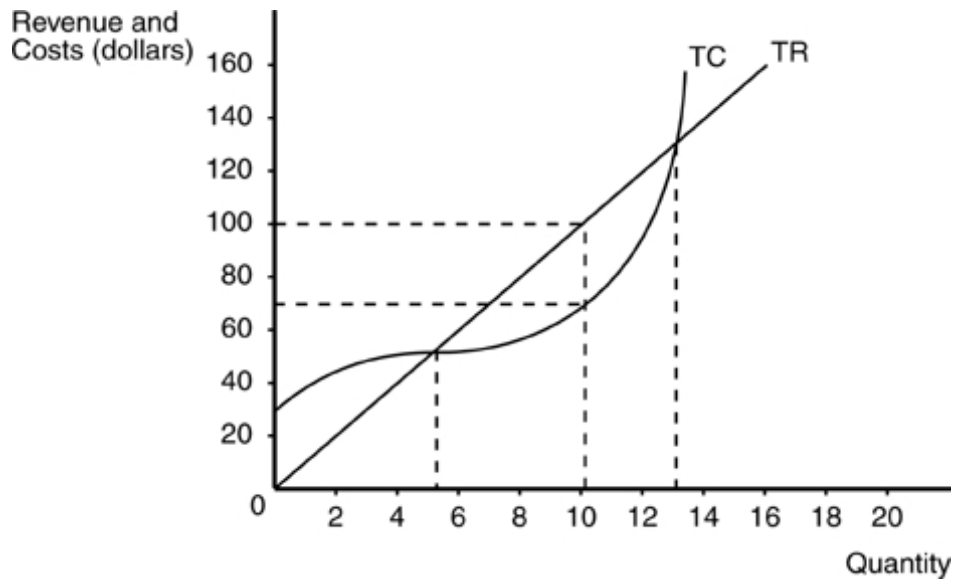
40) _____

- 41) Which of the following is NOT a characteristic of a perfectly competitive market?
A) It is difficult for a firm to enter or leave the market.
B) The products sold by the firms in the market are homogeneous.
C) There are many buyers and sellers in the market.
D) Each firm is a price taker.

41) _____

- 42) Under the perfectly competitive market structure, the demand curve of an individual firm is
A) perfectly inelastic. B) downward sloping.
C) perfectly elastic. D) relatively inelastic.

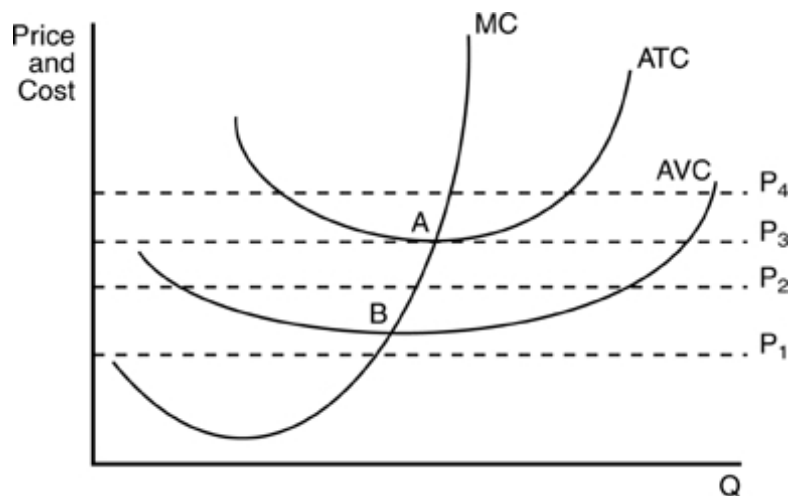
42) _____



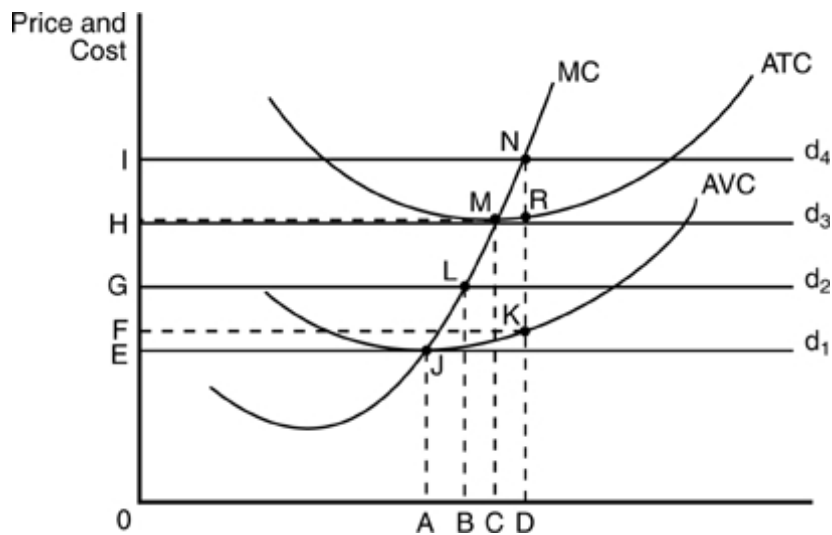
- 43) In the above figure, the market price charged by this profit-maximizing, perfectly competitive firm is _____ 43) _____
- A) \$14 per unit of output. B) \$5 per unit of output.
C) \$8 per unit of output. D) \$10 per unit of output.

Total Output	Total Costs	Total Output	Total Costs
100	\$500	106	\$528
101	501	107	540
102	503	108	555
103	506	109	580
104	510	110	615
105	518	111	660

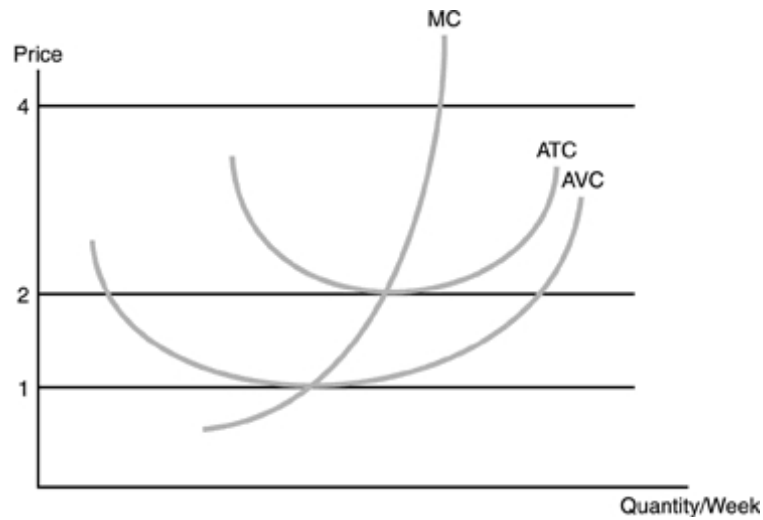
- 44) Refer to the above table. This firm operates in a perfectly competitive market in which the market price is \$10 per unit. What is its profit-maximizing rate of production? 44) _____
- A) 108 units B) 110 units C) 104 units D) 106 units
- 45) When $MR < MC$ for a firm, the firm should 45) _____
- A) increase output, unless $P < AVC$. B) reduce its level of output.
C) stop producing. D) stay at the same level of output.



- 46) In the above figure, what happens to the firm's optimal level of output if the price it receives for its product increases from P_2 to P_3 ? 46) _____
- A) Output stays the same.
 - B) Output increases.
 - C) Output decreases.
 - D) There is not enough information provided to know what happens to output.
- 47) Suppose that at the current level of output, price = \$12, MC = \$14, AVC = \$7, and ATC = \$9. Which of the following is TRUE? 47) _____
- A) The firm should shut down.
 - B) The firm should maintain the current level of output.
 - C) The firm should decrease output.
 - D) The firm should increase output.



- 48) In the above figure, if the firm is facing demand curve d_2 , then to maximize profits it will produce at output level _____
- A) A.
 - B) B.
 - C) C.
 - D) D.



49) Refer to the above figure. Profits will equal zero

- A) at prices between \$1 and \$2.
- C) when the price equals \$4.

- B) when the price equals \$2.
- D) when the price equals \$1.

49) _____



50) In the above figure, the long-run cost curve between points A and B illustrates

- A) diseconomies of scale.
- C) constant returns to scale.

- B) diminishing marginal product.
- D) economies of scale.

50) _____